

Austin Airbnb Investment Opportunity Analysis

Oct 8, 2026 · Victoria Reyna

Executive Summary

The strongest data signal for a new Austin listing is an entire home in ZIP 78721, priced \$100–199 a night, with a 1–3 night minimum stay. That combination shows high guest activity without a crowded or operator-dominated market.

Guest activity in this report means **reviews per month, used as a proxy for demand**. It is not bookings, occupancy, revenue or profit.

- **The market is large and active again.** 9,183 priced listings from 5,019 hosts average \$219 a night and 1.78 reviews per month. Review volume hit record highs in 2024–2025 after the 2020 COVID dip.
- **78721 is the cleanest ZIP opportunity.** It has the highest activity of any ZIP with 20+ listings (2.42), a moderate \$186 average price, 270 listings, and only 17% of listings held by large operators.
- **78735 looks attractive but is misleading.** Its high activity (2.25) and low listing count hide that its supply is concentrated: 64% of its listings belong to large operators.
- **78702 and 78704 are proven but crowded.** Each has over 1,100 listings; 78702 still shows strong activity (2.36) at a higher \$251 average price.
- **Entire homes and short minimum stays get the most activity.** Entire homes average 1.87 vs. 1.20 for private rooms. Listings with a 1-night minimum at \$100–199 reach 2.92, and activity drops sharply once minimums reach 4+ nights.

Business Question & Objectives

The project asks: **where in Austin, and with what kind of listing, does a new short-term rental have the best data-backed chance of strong guest activity?**

1. Which ZIP codes combine strong guest activity, solid prices and less competition?
2. Which ZIPs are saturated with listings or dominated by large multi-listing operators?
3. Which room types show the most guest activity?
4. Which price ranges and minimum-night settings are linked to the most activity?
5. Who are the largest hosts, and where are they concentrated?

The answers are delivered as four Tableau dashboards: Investment Overview, Neighborhood Performance, Competitive Landscape and Property Optimization.

Data Source & Scope

The analysis covers 9,183 priced Austin Airbnb listings, drawn from a review-level extract of 670,923 rows.

Item	Detail
Source	Austin Airbnb extract ("Austin AirBNB Extract"), Tableau Cloud
Row grain	One row per guest review; listing details repeat on every review row
Raw size	670,923 review rows, 12,276 unique listings
Analyzed listings	9,183 (after the price filter)
Hosts	5,019
Time range	Reviews from 2009 to June 2025; trend charts end May 2025, the last complete month
Geography	Austin ZIP codes; ZIP-level comparisons use the 40 ZIPs with 20+ listings
Key fields	Listing Id, Host Id, Host Name, ZIP code, Room Type, Price, Minimum Nights, Availability 365, Reviews per Month, review Date

Because rows are reviews, listings with zero reviews are not in the data at all.

Methodology & Data Cleaning

Every listing counts once in every average, even though busy listings appear on hundreds of review rows.

1. **Profiled the data.** Confirmed one row per review, 12,276 distinct listings, and the price range.
2. **Fixed field types.** Renamed the ZIP field to ZIP Code, set it as a string with a ZIP geographic role, and made it a dimension.
3. **Removed bad prices.** A global Price filter keeps \$9–\$10,000 and excludes nulls. It drops 12 placeholder prices of \$40,000–\$50,000 and about 3,081 listings with no price. It applies to every sheet on the data source.
4. **Weighted averages to the listing.** Each row is divided by that listing's row count (Rows Per Listing), so a listing with 500 reviews does not count 500 times.
5. **Filled blank activity.** Blank Reviews per Month values are treated as 0 with ZN().
6. **Set minimum sample sizes.** ZIP comparisons keep only ZIPs with 20+ listings. Room-type splits use a ZIP-level condition filter so small segments do not distort the view.
7. **Grouped values into bands.** Price, minimum nights and host size were bucketed so patterns are readable.
8. **Checked outliers.** Unusual values were reviewed, not just removed. Example: one host's \$21.77 average price is real — those are shared and private co-living rooms.
9. **Built four dashboards.** Each answers one part of the business question, and they read in order.

Key Metrics & Definitions

Metric	What it means	What it is not
Activity (proxy)	Average reviews per month per listing; a stand-in for guest demand	Not bookings, nights sold or occupancy
Listing Count	Number of distinct listings	—
Host Count	Number of distinct hosts	—
Avg Listing Price	Average nightly list price, one vote per listing	Not what guests paid; not revenue
Review Volume	Number of reviews written in a period	Not the number of stays
Avg Minimum Nights	Average shortest stay a listing allows	—
Avg Availability	Days per year the calendar is open	Not occupancy; open days may be booked or empty
Host Tier	Host size by citywide listing count: Single (1), Small (2-5), Mid (6-20), Large operator (21+)	—
Large Operator Share	Share of a ZIP's listings owned by Large operators	Not a measure of market power or rules
Price Band	Under \$100, \$100-199, \$200-349, \$350-599, \$600+	—
Min Nights Band	1 night, 2-3, 4-6, 7-29, 30+ (monthly)	—

Findings by Dashboard

1. Investment Overview

Austin is a large, active and growing short-term rental market.

- 9,183 priced listings, 5,019 hosts, \$219 average nightly price, 1.78 average reviews per month.
- Review volume rose steadily to 2019, fell sharply in 2020 (COVID), then recovered to record highs: 14,475 reviews in April 2024 and 16,681 in March 2025, the busiest month on record.
- Activity is seasonal, with repeating peaks each year.
- The map shows activity spread across many ZIPs, with the densest supply in central Austin.

2. Neighborhood Performance

A few ZIPs beat the citywide average on activity, but they differ sharply in how crowded they are.

ZIP	Listings	Activity (reviews/mo)	Avg price	Read
78721	270	2.42	\$186	Highest activity, moderate supply
78702	~1,145	2.36	\$251	Strong activity, higher price, crowded
78735	47	2.25	\$134	Small and active, but see Dashboard 3
78704	~1,355	1.77	\$245	Most listings, about average activity
Average ZIP	229	1.59	—	Benchmark (40 ZIPs with 20+ listings)

- Room mix varies by ZIP: about 33% of 78744's listings are private rooms, and about 14% of 78751's are shared rooms.
- Most ZIPs keep calendars open about 210–270 days a year.

3. Competitive Landscape

Most listings are run by hosts with more than one property, and large operators dominate a few ZIPs.

- Share of listings by host size: Single 38%, Small (2–5) 31%, Mid (6–20) 17%, Large (21+) 14%. About 62% of listings belong to multi-listing hosts.
- Largest hosts by listings: Martin (84), Portoro (72), Vacasa Texas (70), Jen And Steven (59).
- Martin's listings are co-living rooms averaging about \$22 a night with very low activity (0.12), so the top host is not a typical competitor.
- Operators cluster: Martin has 68 listings in 78751, Vacasa Texas 67 in 78701, Gonzalo 35 in 78701, Jen And Steven 32 in 78741, Sbm 28 in 78735.
- Large-operator share by ZIP: 78735 64% (30 of 47), 78701 36%, 78751 31%, 78756 28%. Most ZIPs sit at 10–20%; 78721 is 17%.

4. Property Optimization

Entire homes with short minimum stays and mid-range prices show the most activity.

Room type	Listings	Activity	Avg price
Entire home/apt	8,022	1.87	\$238
Hotel room	9	1.45	—
Private room	1,089	1.20	\$89
Shared room	63	0.32	—

- The most active combination is \$100–199 with a 1-night minimum: 2.92 reviews per month across 1,171 listings. Under \$100 with a 1-night minimum follows at 2.78.
- Activity drops sharply once the minimum stay reaches 4+ nights. Part of this is built in: longer stays mean fewer separate guests, so fewer reviews.
- Among 1-night listings, activity falls as price rises.
- In the most active ZIPs, entire homes run about 2.0–2.4. In 78744, private rooms (1.95) match entire homes (1.96).
- Cells with fewer than about 30 listings, such as 78735 private rooms (2) or 78753 shared rooms (1), are too small to trust.

The Story

The four dashboards narrow one question step by step: from "is Austin worth a look?" to "what exactly should a listing look like, and where?"

1. **Is there a market? (Investment Overview)** Yes. More than 9,000 listings, and guest reviews are at record highs after bouncing back from 2020. People are still coming to Austin and staying in Airbnbs.
2. **Where are guests most active? (Neighborhood Performance)** A handful of ZIPs beat the city average. 78721, 78702 and 78735 stand out. But 78702 and 78704 are already packed with over 1,100 listings each, so a new listing there has a lot of neighbors.
3. **Who is already there? (Competitive Landscape)** This is the plot twist. 78735 looked like a hidden gem — small and busy — but nearly two-thirds of its listings belong to large operators. 78721 holds up: high activity, and large operators own only 17%, below several central ZIPs.
4. **What should the listing be? (Property Optimization)** Guests are most active on entire homes with short minimum stays at mid-range prices. A \$100–199 entire home with a 1–3 night minimum lines up with the strongest patterns.

Put together: the market is healthy, 78721 is the clearest place to look first, and the listing that best fits guest behavior is a reasonably priced entire home that allows short stays. Every step uses reviews as a proxy for demand, so this points to where to dig deeper, not to guaranteed earnings.

Recommendations

These are data signals for where to focus research, based on listing data and a review-based activity proxy. They are not profit, ROI or legal advice.

#	Recommendation	Evidence from the dashboards
1	Make 78721 the first ZIP to investigate.	Highest activity of 40 ZIPs (2.42), moderate supply (270 listings), \$186 average price, 17% large-operator share
2	Treat 78702 as a strong second option, at a higher price point.	2.36 activity and \$251 average price, but ~1,145 listings means heavy competition
3	Be cautious with 78735 despite its numbers.	64% of its 47 listings belong to large operators; its activity reflects them more than open demand
4	Favor an entire home or apartment.	1.87 activity vs. 1.20 for private rooms; 87% of listings are entire homes, so this is what guests expect
5	Test pricing in the \$100–199 range.	The most active price band with a 1-night minimum (2.92 across 1,171 listings)
6	Keep the minimum stay at 1–3 nights.	Activity drops sharply at 4+ night minimums
7	Consider a private room only in ZIPs where it holds up, such as 78744.	There private rooms (1.95) match entire homes (1.96), while citywide they trail

Before acting on any of these, check costs, local rules and real booking data, none of which this dataset contains.

Limitations & Caveats

The biggest limit is that reviews are a proxy: not every guest leaves a review, so activity shows relative demand, not actual bookings.

- **No financial or booking data.** The dataset has no revenue, profit, occupancy, bookings, costs, taxes or ROI, so none are claimed here.
- **No regulation or complaint data.** Short-term rental permits, zoning and neighbor complaints are outside this data.
- **Listings with zero reviews are missing.** Because each row is a review, new or unreviewed listings do not appear.
- **Removed listings are missing.** Listings taken down before the extract are absent, so older years are undercounted.

- **Only priced listings are included.** About 3,081 listings with no price and 12 placeholder prices were excluded.
- **Price is the list price.** It is not what guests actually paid, and it reflects one snapshot in time.
- **Availability is not occupancy.** Open calendar days may be booked or empty.
- **Host tier is citywide.** A Large operator with 21+ listings citywide may have only a few in a given ZIP.
- **Small segments are unreliable.** Combinations under about 30 listings can swing on a few properties.
- **Long minimum stays naturally get fewer reviews.** Their lower activity partly reflects fewer, longer stays.

Next Steps

The next step is to test the 78721 signal against data this extract does not have.

- ☐ Add booking or occupancy data (for example, from a market-data provider) to check whether the review proxy matches actual stays.
- ☐ Add property and operating cost estimates for 78721 and 78702 before judging profitability.
- ☐ Review Austin's short-term rental rules for the shortlisted ZIPs.
- ☐ Refresh the extract to include listings with zero reviews and newer listings.
- ☐ Compare entire homes in 78721 by bedroom count, if that field is available.
- ☐ Track the 2025–2026 review trend to see whether record activity continues.
- ☐ Publish the Tableau workbook (currently a draft) and fix the Host Size Mix axis so the 38% label is not cut off.

Appendix: Calculated Fields

Field	Formula or logic	Why it exists
Listing Count	COUNTD([Listing Id])	Counts each listing once, not once per review
Host Count	COUNTD([Host Id])	Counts each host once
Rows Per Listing	{FIXED [Listing Id] : COUNT([Listing Id])}	Review rows per listing; used to weight averages
Review Volume	COUNT([Listing Id])	Reviews in a period, for the trend line
Avg Listing Price	SUM([Price]/[Rows Per Listing])/[Listing Count]	Average price with one vote per listing
Reviews Per Month (clean)	ZN([Reviews Per Month])	Treats blanks as 0
Avg Reviews per Month (proxy)	Same weighting as Avg Listing	The activity proxy

Field	Formula or logic	Why it exists
	Price, on the clean field	
Avg Minimum Nights	Same weighting, on Minimum Nights	Typical shortest allowed stay
Avg Availability	Same weighting, on Availability 365	Typical open calendar days
Price Band	IF/ELSEIF buckets: Under \$100, \$100-199, \$200-349, \$350-599, \$600+	Groups prices for the heat map
Min Nights Band	1 night, 2-3, 4-6, 7-29, 30+	Groups minimum stays
Host Tier	Host's citywide listing count: 1, 2-5, 6-20, 21+	Sizes hosts from single owner to large operator
Large Operator Listings	Listings whose host is a Large operator	Numerator for the share
Large Operator Share	Large Operator Listings ÷ Listing Count	Share of a ZIP held by large operators
Listings per Host	Listing Count ÷ Host Count	How concentrated supply is
Host Label	[Host Name] + " (" + STR([Host Id]) + ") "	Separates hosts who share a name